

5 Reasons Why SIPs Are the Best Investment Gift for Your Child's Future



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What are you planning to gift your child on his or her birthday this year? Take a cue from Prasad - a first-time father who has started a Rs 10,000 monthly SIP in the name of his newborn baby girl the same month as she was born. Invested in an equity mutual fund, his investments are expected to grow at an annualized rate of 15%. The result would be that his daughter Riya will have a corpus

of approximately Rs 1 crore when she becomes an adult at the age of 18. Is there a better gift than future financial security that you can give your child? Probably not.

SIPs or Systematic Investment Plans are a way to invest in mutual funds. The investor must decide how much he plans to invest, the frequency (weekly, monthly, etc.) with which he wishes to invest, for how long he wishes to invest and the mutual fund scheme he wishes to invest in. The investor's bank is then instructed to debit this fixed amount at the pre-determined intervals and funnel them to the specified mutual fund scheme which then issues units to the investor against his investment. The value of these mutual fund units increases over time based on the increase in value of the underlying securities which the mutual fund scheme invests in.

But why should one opt for SIP? Why can't one invest in mutual funds as and when they have surplus savings to invest? Here are 5 reasons why.

Judicious spending – Instead of saving what is left of your income after expenses, with SIP mandates you can ensure that savings are first deducted from income. This approach prioritizes savings and reduces frivolous expenditure.

Disciplined saving – Since SIPs are

automated and regular by structure, they ensure you save towards your child's goals in a disciplined and consistent manner instead of investing money arbitrarily, whenever there is spare cash.

Investing with small amounts - Saving and investing for goals can feel less daunting with SIPs which allow one to break up the investment into smaller lots instead of one large sum. For instance, investing Rs 10,000 per month for a year seems more within reach than investing Rs 1,20,000 in one go. Also, one need not wait to save large amounts of money to start investing, as SIPs can be started for as low as Rs 500 per month. This results in savings starting early and compounding for longer periods of time, which is advantageous for child related financial goals which are many years away.

Freedom from timing the markets

– The automatic nature of SIPs frees investors from timing their investments as the cost of investing averages out over time when SIP instalments buy more mutual fund units when the market is down and less when the market is up.

Separate investment account for child

– Investments dedicated to your child's needs and dreams will ensure savings are not diverted to other uses, as well as teach your child about saving and financial prudence from a young age.